ISFT

INTERNATIONAL SCHOOL OF FINANCIAL TRAINING

BESPOKE QUALIFICATION

ISFT Award in Introduction to Trading Government Bonds

The steadiest asset class, made accessible.

6	12	Level 3	Online
UNITS	CREDITS	AWARD	SELF-PACED

www.derivion.in

Centre: Derivion International Private Limited (trading as ISFT) · Course code 1131239



WHY THIS QUALIFICATION

A fixed income foundation, built for the Indian learner.

Government bonds are the steadiest asset class in any portfolio — and the least understood. This qualification builds that understanding from first principles through to the Indian G-Sec market itself.

Practitioner-designed

Authored by the centre's Head Educator, with content on Indian G-Secs developed to address a gap in structured bond market education.

A dedicated Indian G-Sec unit

The Reserve Bank of India's role, the RBI Retail Direct platform, and how a retail investor actually participates.

Standardised and accredited

Delivered under OCN London (course code 1131239), with a defined credit value, level and external quality assurance.

Applied, not just informational

Learners analyse a real bond market scenario and justify a trading or hedging approach in a written report.

WHO IT IS FOR

For those ready to specialise in fixed income.

Designed for learners who wish to develop specialised knowledge of fixed income markets for careers in treasury, wealth management, or institutional investment.

Level 3 completers

Ready to specialise into fixed income.

Treasury and wealth professionals

Building a structured bond market vocabulary.

Investors in Indian G-Secs

Want to understand the market before participating.

Recommended prior learning

The Level 3 Award in Introduction to Financial Markets, or equivalent. There is no formal barrier to entry.

HELPFUL TO KNOW ALREADY

- **Interest rates**
- **Bond pricing concepts**

A device with internet access to reach the Learning Management System.

WHAT YOU WILL GAIN

A complete fixed-income skill set, unit by unit.

UNIT 1

Read a bond

Face value, coupon and maturity, and how it generates a return.

UNIT 2

Judge its risk

Interest rate, credit and inflation risk, and what duration means.

UNIT 3

Tell the types apart

Government, corporate and municipal bonds, and their credit profiles.

UNIT 4

Price a yield

The price-yield relationship, and what a yield curve is telling you.

UNIT 5

Navigate Indian G-Secs

RBI's role, and how retail investors actually access the market.

UNIT 6

Hedge with bond futures

Structure, pricing, and a real hedging decision, justified in writing.

PROGRAMME AT A GLANCE

The numbers behind the programme.

A comprehensive fixed-income qualification: 6 units, 12 credits, delivered fully online at Level 3.

6	12	3	8–12
UNITS	CREDITS	LEVEL	WEEKS TYPICAL

1. Understanding Bonds and How They Work
2. Bond Risks, Market Structure and Price Drivers
3. Bond Types, Issuers and Classifications
4. Bond Yields, Pricing and Yield Curve Trading
5. Indian Government Securities — Market and Access
6. Bond Futures and Applied Market Strategies

HOW YOU LEARN

Learn online, at your own pace.

Delivered fully online and self-paced through Derivion Academy. There is no fixed timetable: learners typically finish within 8 to 12 weeks.

01

Study

Video instruction and written materials.

02

Calculate

Worked yield and current-price examples.

03

Assess

An online MCQ for each unit.

04

Analyse

A written analytical report, assessed by the Head Educator.

WHAT YOU NEED

- Computer, laptop, tablet or smartphone
- An internet connection to the LMS
- Comfort with interest rates and bond pricing

YOUR LEARNING JOURNEY

Six units, from first bond to first hedge.

1 EB1/3/LR/032

Understanding Bonds and How They Work

2 EB1/3/LR/033

Bond Risks, Market Structure and Price Drivers

3 EB1/3/LR/034

Bond Types, Issuers and Classifications

4 EB1/3/LR/035

Bond Yields, Pricing and Yield Curve Trading

5 EB1/3/LR/036

Indian Government Securities — Market and Access

6 EB1/3/LR/037

Bond Futures and Applied Market Strategies

UNIT 1 · EB1/3/LR/032

Understanding Bonds and How They Work

2 credits

The basic features of a bond, how it generates a return, and why investors hold government bonds within a diversified portfolio.

Basic features of a bond

- Explain the key features of a bond: face value, coupon, maturity
- Describe how a bond generates returns for an investor

The role of bonds in a portfolio

- Explain why investors hold government bonds as part of a diversified portfolio
- Compare the risk and return characteristics of bonds relative to equities

INDICATIVE CONTENT

Bond features and terminology | Coupon and maturity | Bonds as a portfolio diversifier | Bonds vs equities risk/return

UNIT 2 · EB1/3/LR/033

Bond Risks, Market Structure and Price Drivers

2 credits

The main risks of holding a bond, how duration relates to interest rate sensitivity, and what actually moves government bond prices.

The main risks of holding bonds

- Explain interest rate risk, credit risk, and inflation risk as they apply to bonds
- Identify how duration relates to a bond's sensitivity to interest rate changes

Market structure and price drivers

- Identify the role of primary issuance and secondary trading in bond markets
- Identify the main macroeconomic factors that drive government bond prices

INDICATIVE CONTENT

Interest rate, credit and inflation risk | Duration concept | Bond market structure | Macroeconomic price drivers

Bond Types, Issuers and Classifications

2 credits

How government, corporate and municipal bonds differ, and how credit ratings compare a sovereign issuer against a corporate one.

Types and classifications of bonds

- Identify the differences between government bonds, corporate bonds, and municipal bonds
- Identify the classification of bonds by maturity: short, medium, long-term

Issuers and credit considerations

- Identify the role of credit ratings in assessing bond issuer risk
- Compare the credit risk profile of a sovereign issuer with that of a corporate issuer

INDICATIVE CONTENT

Government, corporate and municipal bonds | Maturity classifications | Credit ratings | Sovereign vs corporate credit risk

UNIT 4 · EB1/3/LR/035

Bond Yields, Pricing and Yield Curve Trading

2 credits

The inverse relationship between bond price and yield, how to calculate a current yield, and what a yield curve's shape signals.

How bond yields and prices relate

- Identify the inverse relationship between bond price and yield
- Calculate a simple current yield given a bond's coupon and price

The yield curve in trading and analysis

- Identify what a yield curve represents and how it is constructed
- Identify the trading and economic significance of a normal, flat, or inverted yield curve

INDICATIVE CONTENT

Price-yield relationship | Current yield calculation | Yield curve construction | Normal, flat and inverted curves

Indian Government Securities — Market and Access

2 credits

The structure of the Indian G-Sec market, the Reserve Bank of India's role in it, and how a retail investor actually gets access.

Structure of the Indian G-Sec market

- Identify the role of the Reserve Bank of India in issuing and managing G-Secs
- Identify the main types of instruments issued in the Indian G-Sec market

How Indian investors access G-Secs

- Identify how the RBI Retail Direct platform enables retail access to G-Secs
- Identify the process and considerations for a retail investor participating in the G-Sec market

INDICATIVE CONTENT

RBI's role in the G-Sec market | T-Bills and dated securities | RBI Retail Direct platform | Retail participation process

UNIT 6 · EB1/3/LR/037

Bond Futures and Applied Market Strategies

2 credits

How a bond futures contract is structured and priced, and how it is used to hedge interest rate risk — applied to a real scenario.

Bond futures in trading and hedging

- Explain how a bond futures contract is structured and priced
- Describe how bond futures can be used to hedge interest rate risk

Applying bond market knowledge

- Analyse a given bond market scenario and identify the relevant risk and pricing factors
- Justify an appropriate trading or hedging approach based on sound bond market principles

INDICATIVE CONTENT

Bond futures structure and pricing | Hedging interest rate risk | Applied analytical report task

UNIT 6 · APPLIED TASK

Read the scenario. Justify the trade.

Unit 6 ends with a written analytical report: analyse a given bond market scenario, identify the relevant risk and pricing factors, and justify an appropriate trading or hedging approach.

1,500–2,000

words, written analytical report

Assessed by the Head Educator against a published marking brief.

ANALYTICAL REPORT

Bond market scenario

Analyse the scenario

Identify the relevant risk and pricing factors

Choose an approach

Trading or hedging, based on sound principles

Justify the decision

Reference sound bond market principles



ASSESSMENT

How you're assessed.

Each unit closes with an online MCQ, auto-marked on the LMS. Unit 6 adds a written analytical report.

EB1/3/LR/032	**Understanding Bonds and How They Work**	MCQ
EB1/3/LR/033	**Bond Risks, Market Structure and Price Drivers**	MCQ
EB1/3/LR/034	**Bond Types, Issuers and Classifications**	MCQ
EB1/3/LR/035	**Bond Yields, Pricing and Yield Curve Trading**	MCQ
EB1/3/LR/036	**Indian Government Securities — Market and Access**	MCQ
EB1/3/LR/037	**Bond Futures and Applied Market Strategies**	MCQ + report

25 questions · 50 minutes · 70% pass mark on every MCQ · report is 1,500–2,000 words

MCQ: recognition level

Where criteria say explain, describe or identify, you select the correct answer from plausible alternatives.

Report: application

Criteria that ask you to calculate, compare, analyse or justify are assessed through the Unit 6 written report.

Standards you can rely on.

Assessment is quality-assured at every stage, and the qualification is reviewed every year.

1 Set

Activities are set internally by tutor/assessors so learners can meet the learning outcomes and assessment criteria.

2 Moderated

Assessed evidence is internally moderated at the centre, unless it is computer-assessed.

3 Externally verified

An OCN London External Quality Assurer moderates externally.

4 Reviewed every year

By the Head Educator, informed by learner feedback, IQA review and OCN London feedback.

WHERE THIS LEADS

Your next step in fixed income.

On completion, learners may progress to:

- **Introduction to Technical Analysis in Trading Certificate**
- **Further study in fixed income and investment management (Level 4+)**

Awarding organisation: OCN London · Course code 1131239

Centre: Derivion International Private Limited (trading as ISFT), Centre ID 160472

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